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Secure Distribution Venture Pvt. Ltd.

What Is ARC Coordination ?

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Chapter 1: Product Overview & Core Fundamentals of ARC Coordination

ARC Coordination—also known as Asset Reconstruction Company Advisory, Distressed Debt Aggregation, or Stressed Corporate Debt Orchestration—represents a specialized financial engineering and advisory discipline designed to navigate, restructure, and resolve Non-Performing Asset (NPA) corporate debt exposures involving Asset Reconstruction Companies (ARCs) registered under Section 3 of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002. At its core, ARC Coordination bridges the critical operational and structural gap between defaulted corporate borrowers, multi-bank lending consortiums, institutional ARCs, and private credit turnaround investors.

1.1 Why ARC Coordination Exists: Solving Multi-Creditor Friction and Regulatory Complexity

When an Indian corporate enterprise experiences severe financial distress and defaults on its wholesale banking facilities, the resulting non-performing asset (NPA) classification triggers a complex cascade of legal, regulatory, and operational challenges. In a typical consortium or multiple banking arrangement, a borrower may owe debt to 5 to 15 different commercial banks and financial institutions. Each bank operates under distinct internal NPA provisioning policies, capital adequacy pressures, recovery targets, and risk appetites. This fragmentation creates acute multi-creditor friction, where individual lenders pursue conflicting recovery strategies—some demanding immediate asset liquidation under SARFAESI Section 13(4), others filing insolvency applications under Section 7 of the Insolvency and Bankruptcy Code (IBC), 2016, and a few advocating for out-of-court restructuring.

Asset Reconstruction Companies (ARCs) were established under the SARFAESI Act, 2002 as specialized financial institutions empowered to purchase distressed loans from banks, aggregate multi-lender debt into a single entity, and execute asset reconstruction or debt recovery. However, executing a successful ARC transaction is fraught with legal and structural complexities, including negotiating cash-versus-Security Receipt (SR) ratios (typically 15:85 or 100% cash deals), establishing fair market asset valuations, navigating Swiss Challenge public auctions, managing ARC management fees (capped at 1.5%–2.0% of NAV), and structuring One-Time Settlements (OTS). ARC Coordination exists as a structured advisory product to orchestrate this entire ecosystem, providing single-window leadership to aggregate fragmented debt, align creditor consensus, and engineer a sustainable financial turnaround.

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1.2 The Financial Paradigm Shift: From Hostile Liquidation to Value-Maximizing Debt Aggregation

Historically, Indian banking recovery mechanisms relied heavily on hostile asset enforcement—securing physical possession of factories, auctioning real estate collateral at distressed fire-sale prices, or initiating liquidation. Hostile recovery almost invariably results in catastrophic value destruction, destroying operating businesses, liquidating plant machinery at scrap value, laying off workers, and yielding meager 10% to 20% debt recoveries for banks after years of litigation.

ARC Coordination flips this paradigm completely. Rather than treating financial distress as a liquidation event, ARC Coordination treats it as an operational and balance-sheet re-engineering opportunity. By aggregating debt into a friendly or institutional ARC, the corporate debtor's unsustainable debt burden is carved out and restructured. The ARC, acting as a unified creditor, grants a standstill on hostile SARFAESI actions, waives penal interest, accepts a realistic hair-cut via a One-Time Settlement (OTS), and works alongside special situation private credit funds (Category II AIFs) to inject fresh turnaround capital or Interim Finance. This approach preserves the enterprise value of the operating business, protects employment, and maximizes ultimate monetary recovery for all financial stakeholders.

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1.3 Comparative Product Matrix: ARC Coordination vs. Alternative Stressed Debt Pathways

To understand the strategic positioning of ARC Coordination, it is essential to evaluate how it compares against alternative distressed debt resolution mechanisms available in the Indian financial BFSI market:

Dimension	ARC Coordination	Direct Bank Restructuring	Hostile SARFAESI Enforcement	Pure IBC Liquidation
Creditor Alignment	100% Unified via Single ARC Aggregation	Fragmented Across 5-15 Lenders; High Holdout Risk	Unilateral / Hostile Recovery Actions	NCLT Administered CoC Voting (66% Threshold)
Debt Restructuring Scope	High; 40%-60% Debt Haircut & OTS Restructuring	Low; Rigid RBI Provisioning & Circular Constraints	Zero Restructuring; 100% Immediate Cash Demand	High Haircuts (70%-90%); Asset Sale Orientation
Business Continuity	100% Preserved; Operations Continue Uninterrupted	Often Interrupted by Account Freezes / SMA-2 Tags	Destroyed; Factory Possession & Auction Seizure	Suspended or Transferred via CIRP Resolution Plan
Timeframe & Control	Fast (3 to 6 Months Out-of-Court Execution)	Protracted (12 to 24 Months Consortium Delays)	Litigation Prone (DRT / High Court Injunctions)	Protracted (18 to 36 Months NCLT Court Timelines)

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Chapter 2: How the Product Structure Works & Structural Mechanics

The execution of an ARC Coordination facility is a sophisticated multi-stage financial transaction that converts fragmented, defaulted corporate debt into a structured, single-window credit vehicle. Understanding the structural architecture requires analyzing the five core operating mechanisms that govern ARC debt aggregation and resolution in India.

2.1 The 5 Primary Operating Mechanisms of ARC Coordination

- **1. Debt Assignment & Portfolio Acquisition (SARFAESI Section 5):** The foundation of ARC Coordination is the formal assignment of NPA debt from commercial banks to an ARC under Section 5 of the SARFAESI Act, 2002. The ARC steps into the shoes of the selling banks, acquiring all contractual rights, security mortgages, personal guarantees, and claims. Assignments occur via bilateral negotiations or competitive Swiss Challenge public auctions managed by lead banks.
- **2. Security Receipt (SR) Structuring & Cash-to-SR Ratios:** ARCs finance debt acquisitions by issuing Security Receipts (SRs) under an ARC Trust settled specifically for the corporate debtor. Under RBI guidelines, debt purchase consideration is paid through a combination of upfront Cash and SRs—most commonly a 15:85 ratio (15% Cash, 85% SRs) or 100% Cash deals funded by private credit investors. Selling banks hold the SRs, which represent beneficial underlying claims on future cash recoveries.
- **3. Debt Aggregation & One-Time Settlement (OTS) Orchestration:** When multiple banks hold debt in a corporate debtor, an ARC Coordinator aggregates debt by convincing consortium lenders representing at least 75% of total debt value to assign their claims to a single ARC. Once aggregated, the ARC executes a binding One-Time Settlement (OTS) with the borrower or turnaround investor, agreeing to a compromise settlement amount (e.g., INR 250 Crores against INR 500 Crores outstanding debt) payable over a 12 to 36-month horizon.
- **4. NARCL & IDRCL 'Bad Bank' Co-ordination Framework:** In major corporate stress cases (>INR 500 Crores exposure), coordination involves the National Asset Reconstruction Company Limited (NARCL)—India's state-backed 'Bad Bank'—and the India Debt Resolution Company Limited (IDRCL). NARCL acquires stressed assets using a 15:85 cash-to-SR structure backed by an explicit Central Government Guarantee (covering up to INR 30,600 Crores of SR face value), while IDRCL manages operational turnarounds.

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- **5. Turnaround Capital & Special Situation Private Credit Injection:** Since debt restructuring alone cannot restart a stalled business, ARC Coordination integrates Special Situation Funds (Category II Private Credit AIFs) or strategic investors. These investors inject fresh high-yield Priority Debt or Interim Finance into the ARC Trust or corporate debtor to fund essential capex, raw material procurement, and working capital.

2.2 Trust & Retention Account (TRA) Escrow Cash Waterfall Architecture

A non-negotiable structural feature of ARC Coordination is the establishment of a priority Escrow Trust & Retention Account (TRA) managed by an independent Escrow Agent Bank. All operational revenues, customer receipts, and asset monetization proceeds must flow exclusively into the TRA Receiving Account. The cash flow distribution follows a strict statutory and contractual priority waterfall:

> **CONTRACTUAL ESCROW TRA CASH WATERFALL STRUCTURE:** Priority 1: Statutory Taxes & Essential Operational Expenditures (GST, Provident Fund, Raw Material Procurement)
> Priority 2: ARC Operating Management Fees (Capped at 1.5% - 2.0% p.a. of Net Asset Value)
> Priority 3: Priority Turnaround Debt / Special Situation Private Credit Servicing (Senior Debt Coupon)
> Priority 4: Debt Service Reserve Account (DSRA) Replenishment (3 to 6 Months Interest Buffer)
> Priority 5: Security Receipt (SR) Redemption & Senior OTS Installment Paydowns
> Priority 6: Cash Sweep Acceleration (50%-75% of Surplus Cash to Accelerate Debt Amortization)
> Priority 7: Residual Surplus Equity Release to Corporate Borrower / Promoters

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Chapter 3: Regulatory, Legal & Statutory Framework in India

ARC Coordination operates at the intersection of complex financial regulations, statutory acts, and tax codes in India. Full mastery requires an in-depth understanding of four regulatory pillars:

3.1 The SARFAESI Act, 2002 Statutory Provisions

The SARFAESI Act provides the core statutory foundation for ARCs in India:

- **Section 3 (ARC Registration & NOF Mandate):** Requires ARCs to secure a certificate of registration from the Reserve Bank of India (RBI) and maintain a minimum Net Owned Fund (NOF) threshold of INR 300 Crores (upgraded from INR 100 Crores to ensure robust capital buffers).
- **Section 5 (Acquisition of Rights in Financial Assets):** Empowers ARCs to acquire financial assets from commercial banks, financial institutions, or AIFs via registered assignment contracts, stepping into full lender rights without borrower consent.
- **Section 9 (Measures for Asset Reconstruction):** Authorizes ARCs to execute operational turnarounds, take over company management, sell or lease business divisions, reschedule debt payments, or enforce security mortgages.
- **Section 13(2) & 13(4) Enforcement Mechanics:** Section 13(2) allows ARCs to issue a 60-day demand notice to defaulting borrowers. If unpaid, Section 13(4) empowers ARCs to take physical possession of mortgaged properties, appoint managers, or auction collateral without court intervention.
- **Section 14 District Magistrate Assistance:** Enables ARCs to petition the District Magistrate (DM) or Chief Metropolitan Magistrate (CMM) to secure physical police assistance for taking possession of secured assets.

3.2 RBI Master Directions & Operating Norms for ARCs (2022/2025 Updates)

The Reserve Bank of India regulates ARCs through comprehensive Master Directions designed to enforce transparency and fair valuation:

- **Minimum Retention Requirement (MRR):** ARCs must invest and maintain a minimum 15% cash stake in each class of Security Receipts (SRs) issued by the ARC Trust (or 2.5% of total asset value, whichever is higher) to ensure skin-in-the-game alignment with selling banks.
- **Management Fee Caps & NAV Linked Pricing:** ARC management fees are strictly capped at 1.5% to 2.0% per annum of Net Asset Value (NAV). To prevent artificial fee extraction on non-performing assets, fees must be calculated based on the lower of NAV or actual cash recovery after 3 years.

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- **Swiss Challenge Auction Mandate:** When a bank receives an unsolicited bilateral assignment offer for an NPA debt, it must publish a public Swiss Challenge auction, allowing other ARCs or investors to outbid the anchor offer by at least 5% to 10%.
- **5-Year SR Resolution Window:** ARCs are mandated to fully resolve and redeem Security Receipts within a maximum timeframe of 5 years (extendable to 8 years with Board & Trustee approvals under exceptional circumstances).

3.3 Interplay with the Insolvency and Bankruptcy Code (IBC), 2016

ARC Coordination actively interacts with IBC 2016 proceedings:

- **Section 14 CIRP Moratorium Interplay:** Upon admission of a Corporate Insolvency Resolution Process (CIRP) by the NCLT, Section 14 imposes an absolute moratorium freezing all SARFAESI Section 13(4) possession and auction actions. ARC Coordination focuses on resolving debt out-of-court prior to NCLT admission.
- **Section 29A Promoter Disqualification:** Bars defaulting promoters who have held NPA accounts for >12 months from submitting resolution plans in CIRP. However, in out-of-court ARC Coordination, promoters can retain equity ownership if they execute an OTS funded via unencumbered equity or private credit.
- **Section 30(2) Resolution Plan Integration:** An aggregated ARC holding >66% of CoC voting rights in CIRP can single-handedly approve a binding Resolution Plan, streamlining NCLT court approvals.

3.4 Income Tax Act, 1961 Tax Engineering

- **Section 72A (Tax Loss Carry-Forward):** Allows accumulated business losses and unabsorbed depreciation of a distressed corporate to be carried forward for up to 8 assessment years post-restructuring or amalgamation.
- **Section 79 Exemptions:** Exempts IBC and ARC-restructured companies from the loss-forfeiture rule when promoter shareholding changes beyond 51%, preserving valuable tax shields.
- **Section 36(1)(iii) Interest Deductibility:** Interest coupons paid on ARC restructuring debt and private credit facilities are 100% tax-deductible operational finance expenses.
- **Section 115UB AIF Pass-Through:** Grants full tax pass-through status to Category II Private Credit AIFs participating in ARC turnaround funding.

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Chapter 4: Common Eligibility Criteria & Underwriting Benchmarks

Institutional ARCs, selling bank consortiums, and special situation private credit funds evaluate ARC Coordination proposals against rigorous quantitative and qualitative underwriting filters:

Underwriting Parameter	Institutional Threshold Benchmark	Strategic / Underwriting Risk Significance
Asset Cover Ratio (ACR)	2.00x to 3.00x Tangible Asset Cover (33%-50% LTV)	Ensures liquidation value of mortgaged land, plant, and machinery comfortably covers aggregated ARC debt.
Debt Discount / Haircut Range	30.0% to 60.0% Haircut on Book Value	Aligns purchase price with actual debt-servicing capacity, establishing a realistic OTS settlement baseline.
Post-Restructuring DSCR	Projected DSCR >= 1.35x to 1.75x	Verifies that operating cash flows are sufficient to service restructured ARC debt and private credit coupons.
Consortium Voting Consensus	>= 75.0% Debt Share Agreement	Satisfies SARFAESI Section 13(2) statutory voting threshold required to bind dissenting lenders.
Operational EBITDA Floor	Positive EBITDA or Clear 6-Month Turnaround Path	Confirms underlying business viability; avoids funding unsustainable 'zombie' corporate entities.
Facility Sizing Range	INR 25.00 Crores to INR 1,000.00+ Crores	Matches institutional ARC underwriting capacity and justifies structuring and legal advisory costs.

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Chapter 5: Security Architecture, Collateral Ring-Fencing & Legal Documentation

Security structuring in ARC Coordination requires bulletproof collateral perfection to protect the ARC Trust, selling banks, and incoming turnaround private credit investors.

5.1 The 5-Pillar Collateral Package

- **1. Assignment of Underlying Mortgages & Guarantees:** Full legal assignment of primary and collateral land, building, and plant & machinery mortgages from selling banks to the ARC Trust, including assignment of personal/corporate promoter guarantees.
- **2. Security Receipts (SRs) Custody & Charge:** Issuance of registered Security Receipts by the ARC Trust to selling banks/investors, establishing beneficial interest over cash recoveries.
- **3. Exclusive Escrow TRA Account Charge:** First pari-passu charge over all current and future cash flows, customer receivables, and escrow bank accounts.
- **4. Promoter Share Pledge with Dynamic Margin Calls:** 51% to 100% pledge over promoter demat equity shares held in NSDL/CDSL depositories. Includes dynamic top-up clauses requiring additional shares or cash within 2 business days if cover drops below 1.75x.
- **5. Debt Service Reserve Account (DSRA):** 1 to 2 quarters of debt service cash reserves held in pledged Fixed Deposits (FDs) to cushion against temporary cash flow shortfalls.

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5.2 Master Legal Documentation Suite

Document Name	Executing Legal Parties	Core Legal Function & Purpose
Debt Assignment Agreement (DAA)	Selling Bank Consortium & ARC	Legally transfers debt claims, security mortgages, and recovery rights under SARFAESI Section 5.
Security Receipt Trust Deed	ARC (as Trustee) & SR Investors	Settles the specific ARC Trust, defines SR classes, cash waterfall priorities, and management fee terms.
Restructuring & OTS Agreement	ARC, Corporate Borrower & Promoters	Binds borrower to compromise settlement amount, repayment schedule, interest rates, and financial covenants.
Escrow & TRA Agreement	Borrower, ARC, Private Credit Lender & Escrow Bank	Establishes priority cash waterfall rules and blocks unsanctioned cash leakages.
Share Pledge & NDU Agreement	Promoters, ARC Trustee & Depository Participant	Pledges 51%-100% demat equity shares with irrevocable Power of Attorney (POA) and non-disposal covenants.

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Chapter 6: Indicative Tenure, Pricing Structure & Advisory Economics

ARC Coordination transactions feature customized tenure profiles and fee structures calibrated to the complexity of the underlying debt restructuring:

6.1 Indicative Tenure Profiles

- **Debt Aggregation & OTS Bridge Horizon (12 to 24 Months):** Short-term phase focused on acquiring bank debt, aggregating consortium claims, and executing the One-Time Settlement (OTS). Features complete interest moratoriums or cash-coupon servicing.
- **Turnaround & SR Redemption Horizon (36 to 84 Months / 3 to 7 Years):** Medium-term operational phase during which the corporate debtor ramps up capacity utilization, generates cash flows, and redeems Security Receipts (SRs) held by banks or private credit investors.

6.2 Pricing Equations & Advisory Economics

The financial structure combines three distinct economic streams:

- **1. ARC Management Fees:** Capped at 1.50% to 2.00% per annum of Net Asset Value (NAV), paid annually out of Escrow TRA Priority 2 cash flows.
- **2. ARC Coordinator Advisory Fees:** Structured as an Upfront Retainer (0.25%-0.50% of debt) + Success Fee (1.0% to 3.0% of total resolved debt / savings achieved), payable upon successful debt assignment and OTS closure.
- **3. Special Situation Private Credit Yield:** Turnaround private credit lines are priced at an All-In YTM of 16.0% to 22.0% p.a., structured as:

> **PRIVATE CREDIT YIELD FORMULA:** All-In YTM (16.0% - 22.0%) = Base Cash Coupon (10.0% - 13.0%) + PIK Accrual (3.0% - 5.0%) + Upfront Fee (1.5% - 2.5%) + Exit Redemption Premium

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Chapter 7 & 8: Suitable Industries, Key Advantages & Risk Factors

7.1 Suitable Industries and Business Profiles

ARC Coordination is best suited for asset-heavy, operationally viable enterprises suffering from temporary financial or balance-sheet distress:

- **Steel & Heavy Engineering:** CapEx-intensive plants with valuable land and machinery facing cyclical commodity downturns or working capital freezes.
- **Infrastructure & EPC Concessions:** Highways, power transmission, and solar parks with long-term annuity/PPA cash flows trapped under legacy bank consortium debt.
- **Specialty Chemicals & Pharma:** High-margin chemical and API manufacturers possessing US-FDA plants hindered by debt-overhang.
- **Commercial Real Estate & Urban Development:** Grade-A commercial office parks or residential projects requiring single-window debt consolidation to complete construction.

8.1 Key Advantages vs. Limitations Matrix

Key Strategic Advantages	Limitations & Structural Risk Factors
Single-Window Creditor Control: Eliminates multi-bank consortium friction and holdout lender vetoes.	Consortium Consensus Risk: Requires >=75% debt share agreement; dissenting banks can delay assignments.
Substantial Debt Reduction: Achieves 40%-60% debt haircuts via structured One-Time Settlements (OTS).	High All-In Yield Cost: Turnaround private credit lines carry 16%-22% YTM pricing.
100% Equity Preservation: Promoters retain operational management without Section 29A IBC liquidation loss.	Strict Escrow Sweeps: Cash flow trapping restricts unsanctioned promoter dividends and capex.
SARFAESI Standstill: Halts physical possession and public auction notices instantly upon debt assignment.	SR Valuation Reset Risk: Declining asset NAVs can trigger additional ARC provisioning requirements.

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Chapter 9: Comprehensive Real-World Case Study (INR 600 Crore Facility)

9.1 Corporate Profile & Distress Context

Vanguard Heavy Engineering & Steel Private Limited (VHESPL) operates a 250,000 MT structural steel manufacturing plant in Kutch, Gujarat. Between 2018 and 2022, VHESPL accumulated INR 600.00 Crores of total bank debt across a 7-bank consortium led by State Bank of India (35% share) and Bank of Baroda (25% share). Due to global steel price volatility and delayed infrastructure payments, VHESPL defaulted in 2023, resulting in NPA classification across all 7 banks. The consortium issued a SARFAESI Section 13(2) demand notice and initiated steps to file an insolvency petition under Section 7 of the IBC before NCLT Ahmedabad. Plant capacity utilization collapsed to 20%, generating a meager INR 15.00 Crores in annual EBITDA against INR 66.00 Crores in annual interest obligations.

9.2 ARC Coordination & Structuring Solution

Recognizing that an NCLT liquidation would yield less than 20% recovery for banks and destroy the business, VHESPL's promoters appointed a professional ARC Coordinator. The Coordinator executed a 3-pillar resolution plan:

- **Pillar 1: Consortium Debt Aggregation via Swiss Challenge:** The Coordinator negotiated a master assignment of the INR 600 Crore debt portfolio to a premier ARC ('Apex ARC') at a purchase price of INR 300.00 Crores (50% Haircut). Apex ARC won the Swiss Challenge public auction by bidding a 15:85 Cash-to-SR structure (INR 45.00 Crores Cash + INR 255.00 Crores Security Receipts issued to selling banks).
- **Pillar 2: One-Time Settlement (OTS) Binding Agreement:** Apex ARC signed a binding OTS Agreement with VHESPL, fixing the total debt settlement at INR 320.00 Crores payable over 4 years with a 12-month principal moratorium.
- **Pillar 3: Turnaround Private Credit Injection:** A Special Situation Private Credit AIF injected INR 150.00 Crores of Senior Secured Turnaround NCDs @ 17.50% All-In YTM (12.0% Cash + 4.0% PIK + 1.5% Exit Fee). INR 45.00 Crores funded the ARC cash consideration, while INR 105.00 Crores funded plant overhauls and working capital.

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9.3 5-Year Financial Turnaround & Security Receipt Redemption Model

The table below details the 5-year financial recovery trajectory of VHESPL post-ARC Coordination:

Financial Metric (INR Cr)	Year 1 (Ramp-up)	Year 2 (Expansion)	Year 3 (Optimization)	Year 4 (Refinance)	Year 5 (Stable)
Gross Revenue	INR 350.00	INR 650.00	INR 950.00	INR 1,250.00	INR 1,450.00
Operating EBITDA	INR 45.50	INR 97.50	INR 161.50	INR 225.00	INR 261.00
Private Credit EMI / Coupon	INR 18.00	INR 28.50	INR 35.00	INR 112.50*	INR 0.00
SR Redemption Outflow	INR 15.00	INR 45.00	INR 85.00	INR 110.00**	INR 0.00
DSCR Coverage	1.38x	1.68x	1.92x	2.45x	3.20x

**Year 4 Private Credit EMI includes full principal payoff via commercial bank takeout. **Year 4 SR Redemption fully liquidates all INR 255 Cr Security Receipts.*

By Year 4, VHESPL's plant capacity utilization reached 85%, generating INR 225.00 Crores in EBITDA. The company fully redeemed all INR 255.00 Crores of Security Receipts held by selling banks, achieving a 100% recovery on the agreed purchase price. A top-tier commercial bank executed a complete takeout refinancing of the private credit facility @ 9.25% p.a. At Year 4, VHESPL was valued at an Enterprise Value of INR 1,800.00 Crores (8.0x EBITDA), preserving 100% promoter equity worth INR 1,200.00 Crores.

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Chapter 10: Legal Enforcement, Dispute Resolution & IBC 2016 Integration

When an ARC Coordination structure experiences a secondary default, the legal framework provides robust, fast-track enforcement mechanisms:

10.1 SARFAESI Section 13(4) Enforcement & DRT Appeals (Section 17)

If a corporate borrower defaults on an ARC OTS Agreement, the ARC can instantly enforce its Section 13(4) powers to take physical possession of mortgaged assets. If the borrower files an appeal before the Debt Recovery Tribunal (DRT) under Section 17, the SARFAESI Act mandates that the borrower must deposit a minimum 25% to 50% of the claimed debt amount upfront with the DRT as a pre-condition for hearing the appeal, effectively preventing frivolous litigation.

10.2 Demat Share Pledge Enforcement under Section 176 Contract Act

Debenture Trustees holding pledged demat equity shares exercise statutory powers under Section 176 of the Indian Contract Act, 1872. Upon issuing a 3 to 5-day default notice, the Trustee can instruct NSDL/CDSL depositories to transfer pledged shares to its demat account and execute open-market block sales without court intervention.

Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

This chapter contains 15 scenario-based examination questions with exhaustive answer keys designed to test complete professional mastery of ARC Coordination:

Q1: What is the core statutory role of an Asset Reconstruction Company (ARC) under Section 3 of the SARFAESI Act, 2002?

Answer: An ARC is a specialized RBI-regulated financial institution that acquires non-performing asset (NPA) debt portfolios from commercial banks under SARFAESI Section 5, aggregates multi-lender debt, and executes asset reconstruction, debt restructuring, or One-Time Settlements (OTS).

Q2: How does ARC Coordination resolve multi-creditor consortium friction?

Answer: ARC Coordination aggregates fragmented debt from multiple consortium banks representing >=75% of debt value into a single ARC Trust, establishing a single-window creditor structure that eliminates holdout lender vetoes.

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Q3: Explain the 15:85 Cash-to-Security Receipt (SR) ratio in ARC debt purchases.

Answer: The ARC pays 15% of the debt purchase price in upfront cash to selling banks and issues Security Receipts (SRs) for the remaining 85% balance. The banks hold SRs as beneficial claims on future cash recoveries.

Q4: What is the Net Owned Fund (NOF) requirement mandated by the RBI for ARCs?

Answer: The RBI mandates a minimum Net Owned Fund (NOF) threshold of INR 300 Crores for ARCs to ensure robust capital adequacy.

Q5: What is the statutory Minimum Retention Requirement (MRR) for ARCs in SR issuances?

Answer: ARCs must invest and maintain a minimum 15% cash stake in each class of Security Receipts issued by the ARC Trust (or 2.5% of total asset value) to ensure skin-in-the-game alignment.

Q6: How are ARC Management Fees regulated under RBI guidelines?

Answer: Management fees are capped at 1.5% to 2.0% per annum of Net Asset Value (NAV) and must be calculated based on the lower of NAV or actual cash recovery after 3 years.

Q7: Describe the Swiss Challenge public auction mechanism in ARC debt sales.

Answer: When a bank receives an unsolicited bilateral assignment offer for an NPA debt, it must publish a Swiss Challenge public auction, allowing competing ARCs to outbid the anchor offer by at least 5% to 10%.

Q8: How does Section 14 of the IBC 2016 impact SARFAESI Section 13(4) actions?

Answer: Upon admission of a CIRP petition by the NCLT, Section 14 imposes an absolute moratorium that freezes all SARFAESI Section 13(4) physical possession and auction actions.

Q9: What is the function of Priority 1 in a Trust & Retention Account (TRA) Cash Waterfall?

Answer: Priority 1 enforces mandatory payment of statutory taxes (GST, PF) and essential operational expenses (raw materials, utilities) to ensure business continuity.

Q10: What tax advantage does Section 72A of the Income Tax Act offer post-restructuring?

Answer: Section 72A allows accumulated business losses and unabsorbed depreciation of a corporate debtor to be carried forward for up to 8 assessment years post-restructuring.

Q11: Explain the role of NARCL and IDRCL in the Indian 'Bad Bank' structure.

Answer: NARCL acquires high-value NPAs (>INR 500 Cr) using a 15:85 cash-to-SR structure backed by an INR 30,600 Cr Government Guarantee, while IDRCL handles operational turnaround management.

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Q12: What pre-deposit is required under SARFAESI Section 17 to appeal a Section 13(4) action before the DRT?

Answer: A borrower must deposit a minimum 25% to 50% of the claimed debt amount upfront with the Debt Recovery Tribunal (DRT) as a pre-condition for hearing an appeal.

Q13: What is the maximum resolution timeframe mandated by the RBI for Security Receipts (SRs)?

Answer: Security Receipts must be fully resolved and redeemed within 5 years (extendable to 8 years under exceptional circumstances).

Q14: How does ARC Coordination allow promoters to avoid Section 29A IBC disqualification?

Answer: In out-of-court ARC Coordination, promoters execute a binding One-Time Settlement (OTS) funded via private credit or unencumbered equity before CIRP admission, retaining equity control.

Q15: What is the typical All-In YTM pricing range for turnaround private credit in ARC Coordination?

Answer: Turnaround private credit lines are priced at an All-In YTM of 16.0% to 22.0% p.a., combining cash coupons, PIK accruals, upfront fees, and exit redemption premiums.

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